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RED WASH TRANSACTION AND COMMERCIAL INSTRUMENTS

Classification: PUBLIC SYNTHETIC DIEGETIC

Related record: SH-PS-RW-TOR-001

The instruments below are fictional but are structured to preserve the commercial, legal, environmental, title, regulatory, employee, and source-record issues established in the transaction case. Northstar Minerals, Inc. is the Wyoming corporate seller; Red Wash Mining, LLC is the Wyoming operating company; Pale Sun Inc. is the Delaware buyer/platform.

The transaction sequence and exact July 18, 2025 close are selected canon. Other day-level instrument dates are synthetic scenario precision unless a controlling record separately locks one.

1. Mutual Nondisclosure Agreement — October 18, 2024

Parties: Sable Harbor and Northstar Minerals, Inc. (NMI).

Confidential information includes native files and metadata, superseded models, operational knowledge, regulatory correspondence, contracts, financial records, the transaction's existence, and information communicated orally and later identified. No summary or management presentation supersedes the underlying source records. Access is limited to representatives with need to know. Neither party is obligated to transact, and no representation of accuracy arises except in a definitive agreement. Wyoming law governs.

2. Indication of Interest — January 17, 2025

Sable Harbor indicates a preliminary \$34 million enterprise/operating value, subject to cash, debt, working capital, ARO, title, permits, contracts, resource, environmental, maintenance, and employee continuity. The indication is nonbinding and explicitly rejects reliance on Northstar's reserve terminology, management projections, or reported EBITDA until verified.

3. Letter of Intent — February 7, 2025

The parties enter a nonbinding LOI at a preliminary \$38 million operating value. Binding provisions cover confidentiality, exclusivity, access, publicity, expenses, standstill, and return/destruction. The purchase price remains subject to technical, environmental, title, contract, working-capital, indebtedness, liability, and source-record adjustments. Sable Harbor may walk without fee for a material diligence change.

4. Seller Re-Trade Memorandum — April 11, 2025

Northstar raises its expectation to \$48 million after uranium-market improvement and interest from another party. The re-trade does not allocate additional environmental, title, continuity, or resource-model risk. Sable Harbor concludes that a higher price and weaker evidence cannot be reconciled through optimistic assumptions.

5. Sable Harbor Walk-Away Notice — May 5, 2025

Sable Harbor terminates exclusivity and negotiations. The notice identifies no accusation of fraud. It states that the remaining price, environmental, title, continuity, maintenance, contract-consent, resource, and closure uncertainties exceed the approved acquisition envelope. Sable Harbor preserves confidentiality and a possible return path if the allocation of risk changes.

6. Revised Term Sheet — June 6, 2025

The revised structure is:

- operating assets: \$42.0 million;
- acquired current assets: \$4.5 million;
- ARO assumed: \$16.0 million;
- other liabilities assumed: \$2.5 million;
- cash consideration: \$28.0 million;
- environmental/title escrow: \$3.0 million;
- holdback: \$0.5 million;
- transaction debt: zero;
- goodwill: zero.

Closing conditions include Board authorization, license and permit acceptance, utility consents, title cure, inventory verification, employee retention, source-record delivery, escrow, and no material adverse change.

7. Equity Purchase Agreement — signed July 2, 2025; closed July 18, 2025

Purchased interests

Northstar transfers all equity interests of the dedicated Red Wash operating company. Red Wash remains the holder/operator of the scheduled mine, mill, tailings, equipment, inventory, contracts, permits, records, water interests, easements, and other assets to the extent legally transferable.

Consideration and liabilities

Buyer pays \$28.0 million cash consideration, with \$3.0 million administered through the environmental/title escrow and \$0.5 million retained as a holdback under the modeled risk-allocation mechanics. Those amounts are disclosed separately and are not added to consideration a second time. Buyer assumes only scheduled liabilities, including the \$16.0 million ARO and \$2.5 million other liabilities. Transaction debt and goodwill are zero.

Representations

Seller representations cover organization, authority, capitalization, title, financial statements, absence of undisclosed liabilities, tax, permits, environmental condition, safety, radiation protection, employees, benefits, contracts, customers, suppliers, inventory, mineral interests, systems, data, insurance, litigation, brokers, and source-record completeness.

Resource information is limited to disclosed internal models. Seller does not represent an S-K 1300 reserve statement. The source-record representation includes native files, metadata, model versions, rejected interpretations, and known superseded records.

Covenants

Pre-close operation follows ordinary course subject to safety and permit requirements. Seller preserves people, source records, permits, insurance, customers, inventory, and physical condition. No new related-party agreement, unusual inventory sale, permit amendment, or material capital deferral may occur outside the agreed covenant.

Closing deliveries

Closing deliveries include equity instruments, officer resignations, disclosure schedules, customer consents, permit-transfer/acceptance evidence, title cures, bill of sale and assignments, escrow, transition-services agreement, employee census, retention agreements, inventory certificate, source-record index, bank/authority changes, and closing certificate.

Indemnity

Indemnity distinguishes fundamental, general, tax, intentional-misrepresentation, title, environmental, and specified known-condition claims. Escrow secures identified title/environmental matters. Fraud and deliberate concealment are not limited by the ordinary cap.

8. Disclosure Schedules

The disclosure schedules identify:

- the 2024 quality-of-earnings adjustments;
 - \$16.0 million accounting ARO and \$25.0 million current-cost closure basis;
 - the permit register and renewal/transfer calendar;
 - MW-17 groundwater and Tailings Cell 1 underdrain records;
 - historical incidents and dosimetry-system migration;
 - customer consents and one contract-pricing workbook correction;
 - product inventory requiring independent verification;
 - predecessor-name easements;
 - the East 12 royalty step-up;
 - material maintenance backlog;
 - related-party arrangements;
 - superseded technical models and source-record exceptions.
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9. Bill of Sale and Assignment

Transfers scheduled mine workings, development, mill, laboratory, tailings equipment, mobile equipment, spares, ore/WIP/product/supply inventory, transferable permits and contracts, books and source files, warranties, site IP, easements, access rights, and water interests. Federal minerals, state licenses, and other nontransferable rights pass only as law permits. Buyer assumes only scheduled liabilities.

10. Environmental and Title Escrow Agreement

A \$3.0 million escrow remains for 36 months. It secures predecessor-name easement cure, specified pre-close groundwater and tailings obligations, property/ad-valorem adjustments, and special representation claims. Claims require notice, factual basis, estimated amount, and supporting evidence. Undisputed funds release on schedule. Fraud remedies are not capped by escrow.

11. Transition Services Agreement

Northstar provides up to six months of read-only ERP access, payroll-history support, vendor and contract administration, geological archive extraction, regulatory archive transfer, insurance-claim support, and tax/property-record assistance at cost plus five percent. Northstar receives no post-close operating, safety, product-release, contract, personnel, or capital authority.

12. Cole Retention and Stop-Authority Agreement

Cole remains for an initial three-year term with market cash compensation, retention payments, and Pale Sun profit participation. He may temporarily stop a movement, stope, area, process, or shipment when observed conditions differ materially from the operating basis. He must record the scope, observation, immediate action, and available basis. Review is rapid. The authority does not grant indefinite shutdown, capital authority, or a presumption that his interpretation is true.

13. Uranium Sales Master Terms

Product is natural uranium concentrate on a U3O8 basis. Each confirmation defines quantity, tolerance, delivery window, make-up rights, price structure, benchmark/reference date, fallback, delivery point, assay, sampling, dry weight, moisture, title, risk of loss, invoice, payment, sanctions, export-control, force majeure, and records.

Pricing may be fixed, base-escalated, market-related with floor/ceiling, or discretionary. A market-related formula never becomes a generic spot-price claim. Delivery and title occur at the named licensed conversion facility after receipt and final assay. Independent/umpire assay procedures apply.

14. Qualified Carrier and Custody Agreement

A qualified external carrier performs transport throughout 2025. Any carrier name in a generated operating record is a synthetic instance, not a canonized counterparty. Red Wash retains shipper obligations, packaging, release, marks/labels, shipping papers, emergency information, carrier qualification, and receiver authorization. Carrier owns transport execution and its timestamp. The conversion facility owns receiving and final-assay evidence. Differences among source timestamps remain visible.

ARU/BS&T had no pre-existing Red Wash relationship and is not inserted into a 2025 shipment. It may support later mapping or interface analysis, and may provide service only after every applicable operating, legal, safety, regulatory, insurance, customer, and custody gate. The agreement creates no automatic ARU carrier, shipper, licensee, or custody authority.